

Research Statement

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I am an applied microeconomist working at the intersection of labor economics, political economy, and development economics. My research examines how institutions shape the creation and distribution of economic opportunities, and how these opportunities affect economic development and social outcomes. I study these questions in both contemporary and historical settings, combining administrative data with new datasets constructed by digitizing archival sources and using frontier empirical tools.

My current research is organized around three related topics: (i) political institutions and the distribution of economic opportunity; (ii) economic and geopolitical shocks, development, and politics; and (iii) institutional change and individual behavior. I also describe my ongoing and future research in the end.

I. Institutions and Access to Economic Opportunity

Institutions shape economic outcomes by structuring the incentives and constraints facing economic and political actors (North, 1991). My research studies how political institutions affect who gains access to good economic opportunities and whether institutional constraints can limit the concentration and persistence of these advantages.

In my job market paper, *“Fathers in Office, Sons in Jobs: Intergenerational Returns to Local Political Office”*, I study whether holding local political office generates lasting economic advantages for officials’ adult children and whether meritocratic reform in the public sector can limit these advantages. This question matters because the vast majority of political offices are local, and if political power generates private economic benefits at this level, it can shape how opportunities are distributed within local communities. I construct a new dataset by digitizing rosters of township, village, and city officials in early twentieth-century Ohio and linking officials to the full-count U.S. censuses and tracing their children from Census 1900 to 1940. To study the impact of officeholding on adult children’s labor market outcomes, my main identification strategy is a matched difference-in-differences design comparing officials’ children with observationally similar non-officials’ children before and after fathers enter office. To address the potential positive selection into politics based on non-observable characteristics, I complement this design with comparisons based on the timing of office entry and between marginal winning and losing candidates.

I find that fathers’ entry into local office increases sons’ occupational income and white-collar employment, with gains persisting for decades. By 1940, officials’ sons earn about 13 percent more than their matched counterparts. The effects for daughters are more limited in this period of low female labor force participation rate. The occupational gains for officials’ sons operate through better access to both public-sector employment and private-sector white-collar jobs. Public-sector effects are larger where hiring is less institutionally constrained. Exploiting the staggered adoption of merit-based civil-service reform across Ohio cities, I further find that the reform designed to curb discretionary hiring in the public sector does not

eliminate the intergenerational advantage associated with officeholding; instead, private-sector white-collar gains become larger when fathers enter office under civil service. Finally, I find suggestive evidence that localities with more public employees being officials' sons is associated with higher local income inequality in townships. The results show that the intergenerational advantage of holding political offices go far down the political hierarchy to even township office. And institutional constraints can change the form through which political connections generate economic advantage without necessarily eliminating that advantage.

II. Economic and Geopolitical Shocks, Development, and Politics.

Economic shocks can reshape local labor markets and have uneven effects across workers, sectors, and places (Autor et al., 2013). Governments play an important role by mitigating the risk or redirecting employment and production through industrial or development policies, an increasingly important issue amid globalization, geopolitical tensions, and technological change.

In *“Building Jobs: Employment Stabilization and Construction in China”*, I study how local governments in China use the construction sector to respond to negative labor market shocks and the longer-run implications of these responses. Politicians have incentives to stabilize employment, but short-run interventions may also generate longer-run distortions. Combining data from customs, city statistic yearbooks, government land transaction records, and government work reports, I exploit cross-city-year variation in exposure to China's mid-2010s export slowdown and use a shift-share instrument that combines changes in global trade outside China driven by recovery from the 2008 Financial Crisis with cities' initial export composition. I find that more exposed cities experience substantial manufacturing employment losses, but followed by increases in construction employment, which is the only sector that experience employment increase after the shocks. This response is stronger when city leaders face stronger career incentives and where labor unrest increases more sharply. Similar construction responses arises following automation shocks that displace manufacturing workers. Local governments facilitate this adjustment through land sales that stimulate real-estate and infrastructure construction. While this response partially offsets employment losses in the short run, suggestive evidence points to greater real-estate risk in the longer run. The paper shows how political incentives shape local adjustment to economic shocks and highlights a tradeoff between short-run employment stabilization and longer-run economic risk.

In *“Geopolitical Tensions and Economic Opportunity: Evidence from Japan”* (with Weizheng Lai), we examine a different source of economic shocks from geopolitical forces. We study U.S. military procurement in Japan during the Korean War, a large demand shock generated by conflict outside Japan. Using newly digitized historical data, we construct a shift-share measure of Japan's prefectures' exposure to military procurement based on pre-war industrial specialization and procurement intensity across industries, and trace its effects using an event-study design. We find that procurement increased employment, induced labor relocation, and raised labor productivity in more exposed prefectures. We also find suggestive evidence that procurement reduced electoral support for parties opposed to Japanese rearmament and military alliance. These results show how geopolitical shocks can create new economic

opportunities in third countries and how the resulting economic gains may also shape domestic political outcomes.

III. Institutional Change and Individual Behavior.

A third strand of my research studies how individuals interact with institutions. In *“Migrant Integration and Social Stability: Evidence from China”* (with Weizheng Lai), we study whether reducing institutional integration barriers to migrant affects their participation to labor unrest. The question is policy relevant as contemporary policy discourse often blames immigrants for bringing social unrest, fueling supports for exclusionary immigration policies. We study China’s 2014 hukou reform, which relaxed barriers to obtaining local household registration in cities below a population threshold while maintaining stricter restrictions in larger cities. Using this population rule, we implement a difference-in-discontinuity design that compares changes in labor unrest across cities around the three-million-population cutoff before and after the reform. We find that reducing barriers to migrant integration significantly decreases labor unrest and we identify a key mechanism: the reform increased migrants’ settlement intentions, thereby reducing their incentives to engage in unrest in order to avoid retaliation and secure permanent settlement opportunities.

Ongoing and Future Research.

Looking ahead, I plan to continue researching on the interaction between institutions, labor markets, and economic development. My ongoing research extends this agenda to the role of state personnel in economic development. In *“Bureaucratic Quality and Local Industrial Development”* (with Muhammad Yasir Khan and S. K. Ritadhi), we ask how important bureaucrats are in local industrial development. Specifically, we use the rotation of Indian Administrative Service officers across India’s districts to decompose the importance of bureaucrats.

References

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